

ACC 411 ADVANCED FINANCIAL ACCOUNTING 2

Accounting Treatment of Containers

Accounting for containers is very important if you pack your product in containers before selling it to your consumers. Every businessman wants to maximize his profits. For this, he wants to increase his sales. Containers play an important role in increasing sales. It is to determine profit or loss from the container. Goods are very often packed into bottles, boxes, bags, cans, drums, etc. for the purpose of preserving, transporting and marketing. These packing materials, which are called packages, containers or empties, are durable as well, as reusable.

To calculate the cost of packaging and to record is very necessary. For accounting purposes, the containers can be divided into two types: (a) Non-returnable containers and (b) Returnable containers.

(a) Non-returnable Containers

The accounting for non-returnable containers can be exercised under the following two conditions:

- When a separate charge is made
- When a separate charge is not made

(i) When a separate charge is made

A separate charge for containers could be made even though the containers are non-returnable. If the cost of packages is not included in the sale price, the cost is charged from customers separately in addition to the price of the goods sold. To record such transactions, a container account is opened debiting opening inventory of containers, purchases and credited with the amount charged to customers and closing inventory of containers. In this case, the Package Account is opened. The separate charge made to the customer is recorded in Sales Day Book in a separate column. This Account is debited with an opening inventory of containers and purchases. Since the separate charge made to customers for the containers is higher than the cost of the containers, the container inventory account will, therefore, show the profit or loss on the containers for the period. It is credited with the amount charged to customers and closing inventory.

(ii) When no separate charge is made

Some packages are such which cannot be returned by the customers. For instance, toothpaste, scent, oil, etc. Therefore, the manufacturer or seller includes the cost of such containers in the selling price of the goods. Their remaining with the products is essential. Hence, in this case, a container inventory account is opened debiting opening inventory of empties, purchases and credited with closing inventory. The difference between the debit total of container inventory account with the credit total is the cost of containers consumed. In certain cases, some cases or packages, if returned, cannot be used again. The cost of containers consumed could be transferred to profit or loss account as distribution expenses or charged to trading or manufacturing accounts.

(b) Returnable Containers

When containers are returnable, there are two alternatives for accounting treatment:

- When no separate charge is made
- When a separate charge is made

(i) When no separate charge is made

In this case, no separate charge is made for the packages or containers. The packages, tins, boxes, bottles, etc. are necessary for packaging goods. While selling such types of well-packed goods, a provision could be made with the customers for the returns of such types of containers. The provision of repair and maintenance is also necessary to make the container moveable regularly. When no separate charge is made even for the returnable container, it is being expected that the customer will return the container within a specified period. If the customer returns the containers on time his account will be credited with the value less than the original cost of the container. This is carried out for maintaining the provision of depreciation.

(ii) When a separate charge is made

Under this method, returnable containers are considered to be special items for trading account. When a separate charge is made for the returnable container, there are various methods to deal with the situation. The price of the containers is charged separately to customers. But widely used methods are as follows:

- i. Container Profit or Loss Method

- ii. Container Suspense Account Method
- iii. Container Trading Account Method

Container Statement Profit or Loss Account

Under this method, the following 4 accounts are maintained:

- Container inventory
- Containers sent to customers account
- Container suspense account
- Container profit or loss account

Key Terms

1. Purchase Price (PP):- This is the Price at which the issuers of containers purchase them.
2. Charged-out-price (COP):- This is the price at which containers are issued out to the customers. The containers should be returned within the specified /agreed time.
3. Credit-back- price (CBP):- This is the price at which customers will be credited back (refunded) provided containers are returned within the stipulated period.
4. Valuation price (VP): This is the price at which container are included in the stock. To take care of depreciation. Valuation price is normally less than, purchase price.
5. Profit on hiring:- This is the excess of charged- out price over the credit- back- price multiplied by the number of containers invoiced to the customer during the period. i.e. $(COP - CBP) \times \text{no of containers invoiced to customers}$.
6. Profit on containers retained by customers;- This is the excess of credit - back —price over the valuation price multiplied by the number of container retained by the customers. i.e. $(CBP - VP) \times \text{No of containers retained by customer}$.

Illustration 1

Shuwa Limited is a dealer of Coca Cola product. The company buys each crate at N1,000. The crates are charged out to customers at N1,200. However, if the customers returned the crates within 3 months, the customer is credited with N800 each. For the purpose of statement of financial Position, each crate is valued at N600.

The inventory in the warehouse at 1st January 2019 was 4,000 crates and with the customers 8,400 crates. During the year ended 31st December 2019, 6,000 crates were purchased, 12,800 were sent to customers, 9,200 were returned, 120 were destroyed in the warehouse and 200 were sold as scrap for a total sum of N2,000.

At the end of the year, there were 7,600 returnable crates in the hands of the customers.

You are required to show the necessary ledger accounts to record the transactions using container statement of profit or loss method.

Illustration 2

The Ogiso Company supplies gas in expensive containers, which are returnable after use. These containers cost N20.00 each and are charged out to customers on sale return with six months at N26.00 each. Provided they are returned within six months period they are credited at N23.00 each. As each container is returned, it is inspected and overhauled at a cost of N2.00.

At the end of the year the company values all returnable containers in customer hands and container held in stock at N16.00 each.

You are advised that:

During the year 3,100 new containers were purchased, 20,620 were invoiced to customers and 17,960 were returned.

On inspection 260 required additional repairs costing N325 and 56 to be sold as scrap for N60.00.

Required

Prepare the following account:

- i. Container Inventory A/c
- ii. Container Suspense A/c
- iii. Container sent to customer A/c
- iv. Profit or loss on Container.

Practice Questions

1. What the problems associated with returnable containers? Enumerate eight of such problems.
2. Agunbiade & Co. Limited is a chemical manufacturing company. These chemicals are stored in containers before sales are made to customers. Each container cost N4,000 and invoiced to customers at N7,000 on three basis of sale or return within three months. The following transactions took place during six months ended 30th June 2018.

Opening Stock:

A warehouse	100 containers
With customers	80 containers
Sent to customers	450 containers
Returned by customers	350 containers
Paid for by customers	50 containers
Purchases	140 containers
Scrapped at N1,500 each	36 containers
Repairs to containers	N38,000

Required:

Prepare container stock account and container suspense account showing profit to be taken in the company's profit and loss account.

3. **ABC LTD** dispatched its products to customers in bulk in wooden crates. The crates are bought from the manufacturer at N15 each but are valued for stock purpose at N10. Customers are charged a deposit of N25 per crate, N20 of which is refunded when the crate is returned. At the beginning 2020, ABC LTD was holding 1,750 crates on its premises, whilst 1,460 were held by the customer. The corresponding figures at the end of the year were 3,021 and 1,983 crates respectively.

During the year 2020, the company bought 200 crates charged out 5,663 crates to customers and made refund on 5,104. Of the remainder 170 were scrapped and 36 were retained by customers.

The company incurred N257 in making damaged crates re-useable

Required:

Prepare the crates account using the Container Profit or loss method

4. **HardCore Ltd** a component manufacturer dispatches his items to wholesalers in reinforced cartons which are returnable.

At the beginning of 2022 he held 912 cartons at his factory whilst a further 871 were with his customers.

During 2022 he bought a further 1,000 cartons and scrapped 39 which were irreparable. Customers were charged for 3,064 cartons, and were refunded for 2,855. An amount of N1420 was spent on repairs to damaged cartons.

At the end of 2022, 1,027 crates were with his customers.

Cartons were bought in at N100 each but valued for stock at N60. The charge to customers was N150 per carton, N130 of which was refunded on their return.

Required:

Prepare the cartons Inventory and Cartons Suspense accounts for the year 2022.